

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE	CONSENSUS (MARKET)
USD 218.95		USD 155.32		-29.1%	USD 300.00
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	12.0% Discount rate (CAPM)	USD 155.32 -29% vs market	USD 300.00 what the market believes

Reading the valuation. Our intrinsic DCF values NVDA at USD 155.32, against a market price of USD 218.95 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 77%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

An exceptional franchise, but at USD 219 the market is pricing in overly optimistic growth and margin expansion that we believe will not fully materialize.

Business quality: Exceptional · **Stock:** SELL — NVIDIA demonstrates exceptional business quality with rapid revenue growth (126% in FY2024, 114% in FY2025) and expanding operating margins (54% in FY2024 to 62% in FY2025), reflecting strong competitive positioning and operational leverage.

What the market prices in. The current share price implies first-year revenue growth of approximately 77% with sustained high growth thereafter, alongside operating margins near or above 60%, reflecting a highly bullish scenario.

What we expect. Our base case assumes more conservative revenue growth of 60% in year one, tapering over time, with terminal operating margins of 48.3% and a terminal growth rate of 2.5%, resulting in a DCF fair value of USD 155.32.

The gap. The market's valuation assumes growth and margin profiles closer to our bull case (USD 331 fair value), while we see risks to sustaining such elevated levels; this divergence results in a 29% downside to our intrinsic value and supports a SELL recommendation.

Why SELL

- 1 The market's implied revenue growth (~77%) exceeds our more conservative 60% forecast, suggesting over-optimism in near-term demand.
- 2 Operating margins are expected to normalize to 48.3% in the terminal period, below the market's implied sustained 60%+ margins.
- 3 Our WACC of 12% reflects appropriate risk, and even with optimistic assumptions, the intrinsic value remains below the current price.
- 4 Scenario analysis shows a 25% probability of a bear case at USD 69, highlighting material downside risk if growth or margins disappoint.
- 5 Management's forward-looking statements include significant risks around competition, supply chain, and technology adoption that could impair growth.

Biggest catalyst. Quarterly earnings releases showing revenue or margin growth materially below market expectations, driving a re-rating lower.

Biggest risk. Sustained acceleration in AI-driven demand and margin expansion beyond our bull case assumptions, supporting higher valuation multiples.

We would turn more positive if:

- Sustained revenue growth above 70% in the next two fiscal years.
- Operating margins expanding beyond 60% and maintaining at that level.
- Successful commercialization and adoption of new technologies like Blackwell exceeding expectations.

We would turn more negative if:

- Revenue growth falling below 50% in FY2025 or FY2026.
- Operating margins declining below 45% due to competitive pressures or cost inflation.
- Supply chain disruptions or product delays impacting market share.

The case against our view. The market's bullish view is supported by accelerating AI adoption and NVIDIA's dominant position in GPUs and AI infrastructure, which could drive sustained revenue and margin expansion beyond our conservative forecasts, justifying the current valuation or higher.

BUSINESS OVERVIEW

NVIDIA's revenue is dominated by its Compute & Networking segment, driven by AI-focused data center products, with a concentrated customer base that may influence future growth dynamics.

NVIDIA's business is divided into two main operating segments: Compute & Networking and Graphics. In fiscal year 2026, Compute & Networking generated \$193.5 billion in revenue, accounting for approximately 90% of total revenue of \$215.9 billion, while Graphics contributed \$22.5 billion [1]. This heavy skew towards Compute & Networking indicates that NVIDIA's core business and profitability are primarily tied to data center and AI-related computing platforms rather than traditional graphics products. The dominance of this segment suggests that NVIDIA's growth and risk profile are closely linked to demand for accelerated computing and AI infrastructure.

The Compute & Networking segment's revenue growth is driven by demand for NVIDIA's Blackwell computing platform and networking products such as NVLink and XDR InfiniBand, which support AI workloads and cloud service providers [3][4]. This focus on AI and data center networking reflects a strategic pivot from legacy graphics to high-performance computing solutions. Given the rapid adoption of AI technologies and cloud infrastructure, this demand is likely sustainable in the medium term, although it depends on continued innovation and customer adoption of NVIDIA's platforms. Disruptions in AI investment or competitive advances could challenge this growth trajectory.

NVIDIA's customer base is highly concentrated, with a few direct customers accounting for a significant portion of revenue—one direct customer represented 22% of total revenue in fiscal 2026, primarily within Compute & Networking [5][6]. This concentration implies dependency risks but also indicates strong relationships with major cloud providers and hyperscalers who drive AI infrastructure demand. The sustainability of this revenue concentration depends on maintaining these partnerships and the customers' continued investment in AI and data center capacity. Any loss or reduction in orders from these key customers could materially impact NVIDIA's revenue.

Geographically, the majority of NVIDIA's revenue is attributed to customers headquartered in the United States, which accounted for \$149.6 billion or 69% of total revenue in fiscal 2026, with Taiwan and China contributing smaller shares [2][5]. However, a significant portion of Taiwan-based customer revenue is ultimately linked to end customers in the US and Europe, underscoring NVIDIA's reliance on Western markets for demand. This geographic concentration exposes NVIDIA to geopolitical and trade risks but also aligns with the global centers of AI innovation and cloud infrastructure investment. The persistence of this geographic revenue profile depends on stable trade relations and continued technology leadership in these regions.

- Compute & Networking segment generated \$193.5 billion in FY2026, about 90% of total revenue, showing NVIDIA's core business is AI and data center focused [1].
- Revenue growth in Compute & Networking driven by Blackwell platform and networking products, indicating strategic shift towards AI infrastructure [3][4].
- One direct customer accounted for 22% of total revenue in FY2026, highlighting customer concentration risk but also strong cloud provider partnerships [5][6].
- 69% of revenue in FY2026 came from US-headquartered customers, reflecting geographic concentration in Western markets with associated geopolitical risks [2][5].

What it means. NVIDIA's business model is deeply embedded in AI-driven data center computing with concentrated customers and geographies, making sustained innovation and customer retention critical for investment returns.

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77

[2] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78

[3] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26

[4] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.27

[5] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78

[6] Q32026 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.22

[7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

FINANCIAL PERFORMANCE

NVIDIA's robust revenue growth driven by AI and accelerated computing is tempered by margin compression from product transitions and inventory charges.

NVIDIA's fiscal 2026 revenue surged 65% to \$215.9 billion, fueled primarily by a 68% increase in Data Center sales and strong demand for Blackwell architecture across segments, including a 41% rise in Gaming and 70% growth in Professional Visualization [1][2]. This reflects the company's successful capture of accelerated computing and AI-driven market shifts, indicating a structural uplift in demand rather than a cyclical spike. Given the ongoing expansion of AI workloads and platform adoption, this revenue momentum is likely sustainable, although supply constraints in Gaming could moderate near-term growth [2][7].

Gross margin declined by 3.9 percentage points to 71.1% in fiscal 2026, driven by the transition from Hopper HGX to Blackwell full-scale datacenter solutions and a significant \$4.5 billion charge related to H2O excess inventory and purchase obligations [1][2][8]. This margin compression signals the cost of scaling new architectures and managing inventory risks amid rapid product evolution. While the margin impact from inventory charges is a one-time headwind, the structural shift to Blackwell solutions may exert ongoing pressure on gross margins unless cost efficiencies improve. Sustained margin recovery will depend on NVIDIA's ability to optimize production and inventory management as Blackwell ramps.

Operating expenses rose 41% to \$23.1 billion, driven by increased compensation costs from employee growth and higher compute and infrastructure expenses [1][2][4][7]. Despite the absolute increase, operating expenses as a percentage of revenue declined from 12.6% to 10.7%, reflecting operational leverage amid strong top-line growth [3][4]. This suggests NVIDIA is effectively scaling its investment in R&D; and SG&A; to support innovation and market expansion. The sustainability of this leverage hinges on continued revenue growth outpacing expense increases, which appears feasible given the company's growth drivers.

NVIDIA's net cash from operating activities jumped to \$102.7 billion, up 60% year-over-year, supporting substantial free cash flow generation despite increased investing and financing outflows [5][6]. This robust cash flow underpins NVIDIA's capacity to fund R&D;, capital expenditures, and shareholder returns without compromising financial flexibility. The durability of this cash flow strength depends on maintaining revenue growth and managing working capital, particularly inventory levels, which remain a key risk factor given recent excesses.

- 65% revenue growth to \$215.9 billion driven by AI and Data Center demand indicates structural market expansion.
- Gross margin fell 3.9 points to 71.1% due to product transition and a \$4.5 billion inventory charge, pressuring profitability.
- Operating expenses increased 41% but declined as a percentage of revenue to 10.7%, showing operational leverage.
- Net operating cash flow rose 60% to \$102.7 billion, enabling strong free cash flow and financial flexibility.
- Supply constraints in Gaming and inventory management remain near-term risks to margin and revenue sustainability.

What it means. NVIDIA's financial performance confirms strong AI-driven growth but margin pressures and inventory risks require monitoring, making execution on cost control and supply chain critical for sustaining profitability and cash flow.

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40

[4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

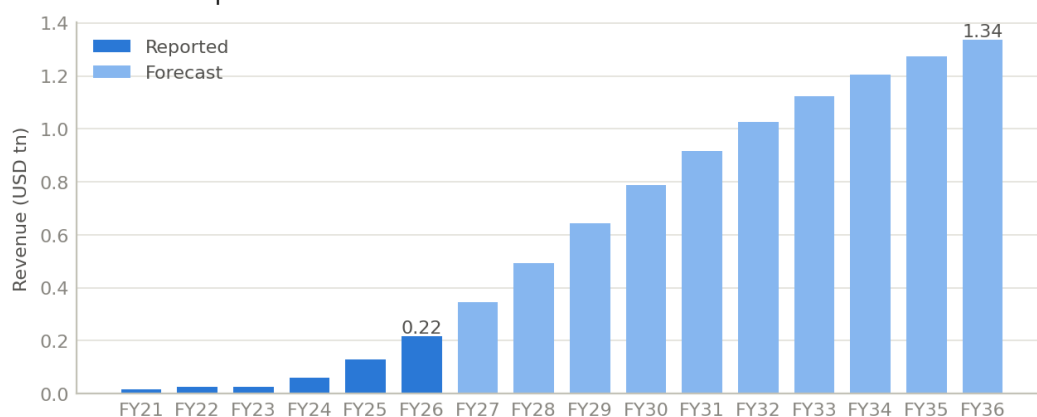
[5] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12

[6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43

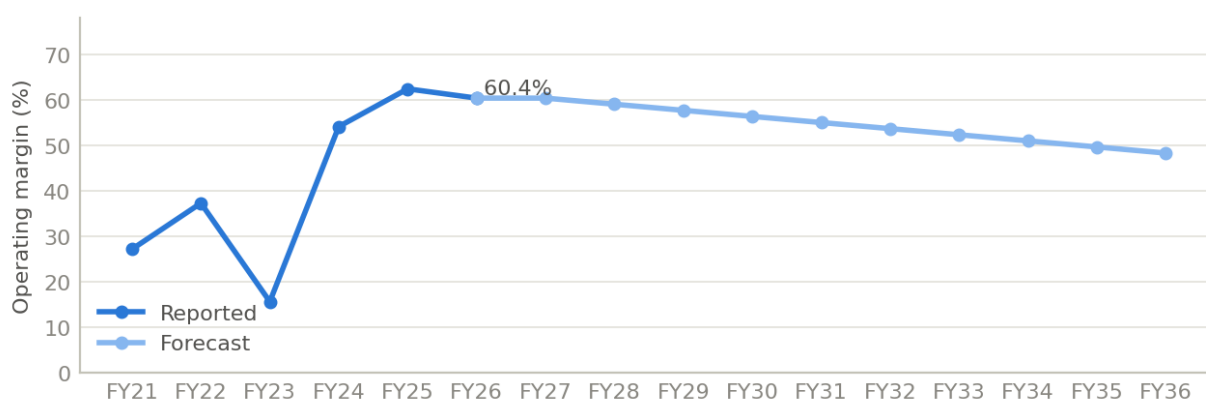
[7] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26

[8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

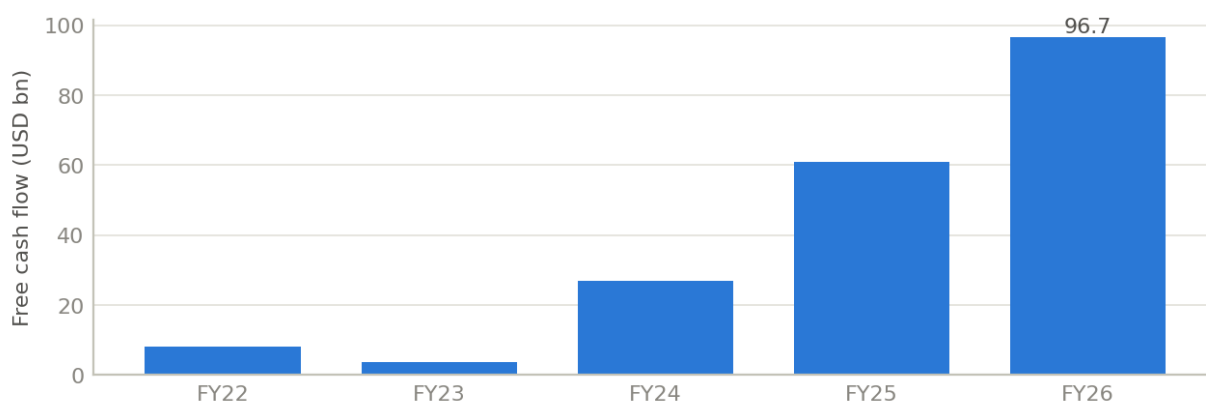
Revenue: reported and forecast



Operating margin



Free cash flow



Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's growth is driven by AI platform demand and accelerated computing, but supply chain and product transition risks could temper sustainability.

NVIDIA's fiscal 2026 revenue surged 65% to \$215.9 billion, with Data Center revenue up 68% driven by accelerated computing and AI, and Gaming revenue rising 41% due to Blackwell demand [1]. This indicates that AI and accelerated computing platforms are the primary visible growth engines, reflecting strong market adoption of NVIDIA's latest architectures. However, the sustainability of this growth depends on continued innovation and market acceptance of new AI platforms like Blackwell, which could falter if competitors catch up or if customer infrastructure readiness lags.

The company is navigating complex product transitions across Data Center, Gaming, Professional Visualization, and Automotive segments, with increased cadence of new architectures each year [2][4]. This complexity introduces volatility in revenue due to qualification times, channel inventory adjustments, and potential customer delays in adopting new architectures. While NVIDIA has managed such transitions before, the accelerated pace and product variety heighten risks of supply-demand mismatches and margin pressure, suggesting that growth from new architectures may be uneven and subject to execution risks.

NVIDIA is investing heavily in expanding U.S.-based manufacturing and specialized equipment to support domestic production and meet AI infrastructure demand [2][4][7][8]. This strategic shift aims to strengthen supply chain resilience and reduce dependency on external factors, which is critical given past supply constraints and inventory charges [1][6]. However, the success of this initiative depends on the domestic manufacturing ecosystem's ability to scale timely; delays could constrain supply and limit revenue growth, making this a potential bottleneck for sustaining momentum.

Macroeconomic and geopolitical factors, including tariffs, inflation, and export controls, add uncertainty to NVIDIA's supply chain and cost structure [6][7][8]. These factors could impact product availability, pricing flexibility, and customer demand timing. Although NVIDIA manages these risks actively, the persistent external pressures may continue to cause revenue volatility and margin fluctuations, challenging the durability of growth unless mitigated by supply chain improvements and stable global conditions.

- 65% revenue growth in fiscal 2026 driven by AI and accelerated computing signals strong demand for NVIDIA's new platforms [1], supporting near-term expansion.
- Increased frequency of product transitions across segments raises risk of revenue volatility and margin pressure due to supply-demand imbalances [2][4].
- Investment in U.S.-based manufacturing aims to enhance supply chain resilience but depends on ecosystem scalability, posing a potential growth constraint [2][4][7][8].
- \$4.5 billion inventory charge linked to excess H2O inventory highlights risks from supply-demand mismatches and product transition challenges [1].
- Macroeconomic and geopolitical uncertainties continue to complicate supply chain and cost management, potentially impacting revenue timing and margins [6][7][8].

What it means. NVIDIA's growth prospects hinge on successful execution of AI-driven product transitions and supply chain expansion, but investors should monitor risks from manufacturing scale-up and external uncertainties that could disrupt momentum.

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[2] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16

[3] Q22026 Earnings Release (8-K) - p.5

[4] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.35

[5] Q42026 Quarterly Report - Corrected Transcript - p.6

[6] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.15

[7] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.25

[8] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.23

COMPETITIVE POSITION

NVIDIA faces intensifying competition and geopolitical export restrictions that challenge its market share and growth sustainability.

NVIDIA competes in a highly dynamic market with rivals ranging from established semiconductor firms like AMD, Intel, and Broadcom to large cloud providers such as Amazon and Microsoft that develop internal AI hardware solutions [1]. This breadth of competition pressures NVIDIA on multiple fronts including pricing, product performance, and innovation. The company's reliance on fabless manufacturing and third-party suppliers adds vulnerability to supply constraints and cost premiums, which competitors with in-house fabs may better manage [2][6]. This competitive intensity is unlikely to abate as new entrants and alliances emerge, making NVIDIA's ability to anticipate customer needs and maintain product quality at

competitive prices critical for preserving market share [6].

Geopolitical export controls, especially those restricting sales to China's data center market, have materially impaired NVIDIA's competitive position and allowed rivals to expand their ecosystems in this key region [3][4][5]. The complex licensing requirements and uncertain regulatory environment create ongoing risks that could further limit NVIDIA's access to global markets and increase operational burdens. Unless NVIDIA can develop products compliant with both US and Chinese regulations, this lost market opportunity will persist and continue to erode its global competitiveness [3][4][5].

NVIDIA's competitive challenges are compounded by long manufacturing lead times and inventory risks, which require advance commitments and premium payments to secure supply [2][6][7]. These factors increase costs and reduce flexibility in responding to rapid shifts in demand or competitor actions. Additionally, some customers possess internal development capabilities that could substitute NVIDIA's offerings, further intensifying competitive pressure [2]. The company's ability to manage supply chain resilience and accurately forecast demand will be essential to sustaining its competitive position amid these operational complexities [6][7].

- NVIDIA faces competition from major semiconductor firms and cloud providers with greater resources, intensifying pricing and innovation pressures [1][2].
- Export controls have effectively foreclosed NVIDIA from China's data center market, benefiting competitors and reducing NVIDIA's global reach [3][4][5].
- Long manufacturing lead times and supply chain constraints force NVIDIA to pay premiums and make early commitments, increasing costs and operational risk [2][6][7].
- Customers with internal hardware development capabilities pose a substitution threat, potentially reducing NVIDIA's market share [2].
- The evolving regulatory landscape, including potential new export restrictions, adds uncertainty that could further impair NVIDIA's competitive position [3][4][5].

What it means. NVIDIA's competitive position is under sustained pressure from geopolitical restrictions and intensifying rivals, making its future growth and margin expansion contingent on navigating regulatory hurdles and supply chain challenges effectively.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [2] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14
- [3] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [4] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [5] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.39
- [6] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.38
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

OUTLOOK

NVIDIA's aggressive share repurchase and dividend strategy signals strong cash flow confidence but depends on sustained profitability and market conditions.

NVIDIA repurchased 282 million shares for \$40.4 billion in fiscal year 2026 and increased its share repurchase authorization by \$60 billion without expiration, bringing total available repurchase capacity to \$71.2 billion as of August 2025 [1][2][6]. This scale of capital return indicates management's confidence in the company's free cash flow generation and a strategic focus on enhancing shareholder value through buybacks. However, the continuation of this program depends on maintaining robust cash flow and favorable market conditions, as the company retains discretion to suspend repurchases if operating requirements or investment opportunities dictate.

The company paid \$974 million in dividends during fiscal year 2026, nearly doubling the prior year's payout, with future dividends contingent on board approval and shareholder interests [2][3][6]. This growing dividend commitment reflects a shift toward returning capital directly to shareholders alongside buybacks, signaling maturity in cash generation. Sustainability of dividends will require consistent earnings and cash flow, especially given the company's emphasis on balancing reinvestment in technology with shareholder returns.

NVIDIA's free cash flow of \$97 billion in fiscal year 2026, with \$41 billion returned to shareholders (43% of free cash flow), demonstrates a disciplined capital allocation approach that balances growth investments and shareholder distributions [5]. The company's explicit strategy to invest in technology and ecosystem development while maintaining substantial capital returns suggests management expects durable growth and profitability. This balance is sustainable only if NVIDIA continues

to capitalize on its market position and manages supply chain and operational risks effectively.

Guidance for the first quarter of fiscal 2027 projects \$78 billion in revenue, driven mainly by Data Center growth, with gross margins expected in the mid-70% range [5]. The exclusion of Data Center compute revenue from China in the outlook signals cautiousness around geopolitical risks that could impact growth. Maintaining these margins and revenue growth is critical to sustaining the cash flow that underpins the capital return programs. Any disruption in Data Center demand or margin compression would challenge the current capital allocation strategy.

- 282 million shares repurchased for \$40.4 billion in FY2026 shows strong cash flow confidence.
- Additional \$60 billion buyback authorization without expiration signals long-term commitment to capital return.
- \$974 million dividends paid in FY2026 nearly double prior year, indicating increased shareholder income focus.
- 43% of \$97 billion free cash flow returned to shareholders balances growth investment and returns.
- \$78 billion Q1 revenue guidance driven by Data Center growth but excludes China, reflecting geopolitical caution.
- Mid-70% gross margin guidance essential to sustaining cash flow for buybacks and dividends.

What it means. NVIDIA's robust capital return program, supported by strong free cash flow and disciplined investment, enhances shareholder value but hinges on sustained Data Center growth and margin stability amid geopolitical uncertainties.

Sources cited above.

- [1] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [3] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28
- [4] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31
- [5] Q42026 Quarterly Report - Corrected Transcript - p.6
- [6] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41
- [7] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36
- [8] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.37

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Customer Concentration Risk Loss or reduced purchases from top direct customers (22% and 14% of total revenue) would sharply reduce Compute & Networking segment revenue.	Medium	Potential loss or reduction of up to 36% of total revenue concentrated in Compute & Networking segment.	Could push fair value toward bear case of USD 69.05 (-68% vs price), given heavy reliance on few customers.	Quarterly revenue contribution from top two direct customers falling below 30% combined.
Export Control Restrictions US export controls limiting sales to key customers or regions reduce addressable market and delay or cancel business opportunities.	High, ongoing regulatory risk	Could reduce revenue growth by several percentage points annually, especially in high-margin data center and AI segments representing majority of revenue.	Could widen the gap to bear case fair value USD 69.05 (-68%), as growth and margins compress due to lost sales and transition costs.	Number of denied or delayed US export licenses reported in quarterly disclosures.
Partner Channel Disruption System integrators or channel partners failing to meet complex design specs or altering purchasing patterns reduce sales volume and delay revenue recognition.	Medium	Could impact up to 30% of revenue sold through indirect channels, mainly in Compute & Networking segment.	Could reduce fair value by 20-30% from base case USD 155.32 if partner disruptions persist.	Decline in revenue growth or order backlog reported from key system integrators or distributors.
Customer Self-Sourcing and Competition Key customers developing internal solutions or switching to competitors reduce NVIDIA's product sales and market share.	Medium	Potential erosion of revenue growth in core GPU and AI accelerator markets, representing majority of revenue.	Could reduce fair value by 15-25% from base case USD 155.32 if market share declines materially.	Decreasing share of wallet or reduced order sizes from top direct customers.

COMPETITIVE MOAT

Moat rating: Narrow

NVIDIA's moat is primarily driven by its CUDA ecosystem and broad platform presence, which provide some switching costs and network effects; however, intense competition and technological challenges limit the durability of these advantages, making the assumed terminal margin of 48.3% plausible but not defensible at the much higher market-implied margin of 74%.

Sources of advantage:

- CUDA software ecosystem widely adopted across cloud providers, OEMs, edge devices, and emerging AI-driven telecommunications platforms, creating switching costs and developer lock-in
- Broad customer base across diverse AI and accelerated computing applications including robotics, autonomous vehicles, and scientific computing, which supports platform stickiness
- Proprietary specialized hardware (Tensor cores) integrated with flexible CUDA programming model, enabling performance differentiation
- Strong presence in multiple computing layers (GPUs, DPUs, SoCs) and partnerships with cloud and device makers, reinforcing ecosystem effects

Threats to the moat:

- Increasing competition from established semiconductor companies (AMD, Intel) and large cloud providers (Amazon, Microsoft, Alibaba) developing internal AI hardware solutions
- Emergence of new competitors or alliances that may offer lower-priced or higher-performance alternatives
- Potential technological shifts that could reduce the relevance of CUDA or NVIDIA's specialized hardware
- Competitors with greater marketing, financial, and manufacturing resources adapting faster to customer or technology changes

MANAGEMENT SAYS VS OUR VIEW

Where our modelled view meets management's own. The rows that matter are the ones where we are more cautious than the company.

Topic	Management says	Our view	Our take
Ecosystem dominance	CUDA is the only accelerated computing platform available in every cloud and through every computer maker, creating a broad ecosystem.	We acknowledge CUDA's strong ecosystem but consider the risk of competitive platforms and cloud providers developing alternatives, limiting ecosystem durability.	More cautious
Competitive environment	Competition is expected to increase from existing and new entrants with potentially better or lower-priced products.	We model increasing competitive pressure as a key factor limiting margin expansion and growth sustainability.	Aligned
Terminal operating margin	Implied margins are very high given NVIDIA's unique platform and technology leadership.	We assume a lower terminal margin (48.3%) reflecting competitive pressures and technological risks, versus the market-implied 74%.	More cautious
Revenue growth sustainability	NVIDIA's diverse customer base and AI-driven platform position it for continued strong growth.	We model strong near-term growth (60%) but temper long-term growth to 2.5% due to competitive and market saturation risks.	Aligned

UPCOMING CATALYSTS

The dated events most likely to move the stock, the direction each points, and the figure it would move. These are when the thesis gets tested.

Event	Timing	Direction	Moves
Q1 FY2027 Earnings Release	Late July 2026	Two-sided	Quarterly revenue growth and operating margin
Rubin Data Center GPU Ramp-up Update	Q3 FY2027 (October-December 2026)	Positive	Data center revenue sequential growth
Gaming Segment Guidance for FY2027	Q2 FY2027 Earnings (October 2026)	Two-sided	Year-over-year gaming revenue growth

Event	Timing	Direction	Moves
Supply Chain and Manufacturing Capacity Update	Q2 FY2027 Earnings (October 2026)	Negative	Inventory levels and supply chain efficiency
Data Center CapEx Market Outlook Commentary	Q1 FY2027 Earnings (July 2026)	Positive	Management commentary on \$3-4 trillion data center CapEx opportunity by 2030

WHAT TO WATCH

The metrics the valuation is most exposed to, with what our thesis expects each to do — so a reader can tell when reality diverges from our view.

Metric	Current	Trend	What we expect	Why it matters
Revenue Growth (FY2027 Q1)	60.0% YoY	Decelerating from prior quarters (126% FY24, 114% FY25, 65% FY26)	Sustained high growth but slowing to ~60% YoY	Revenue growth is the primary driver of valuation and the price implies 24.8% CAGR vs our 20.0%
Operating Margin (FY2027 Q1)	Not disclosed, implied mature margin 48.3%	Stable to slight improvement	Operating margin to stabilize near 48.3%, well below market implied 74%	Operating margin drives profitability assumptions; market pricing implies unrealistic margin expansion
Data Center Revenue Sequential Growth	+\$10B sequential increase in latest quarter	Strong sequential growth with potential acceleration from Rubin GPU ramp	Continued strong sequential growth but moderated from peak	Data center segment is key growth engine and margin driver
Gaming Revenue Growth (FY2027)	Uncertain due to memory supply constraints	Potential pressure or flat growth	Modest growth or flat YoY gaming revenue	Gaming is a significant revenue segment; slower growth impacts overall top line
Inventory Levels and Supply Chain Efficiency	Increasing complexity and inventory provisions risk	Rising inventory and supply chain complexity	Manageable inventory levels without significant write-downs	Excess inventory or supply chain issues could pressure margins and cash flow
Terminal Growth Rate Assumption	2.5% (our model) vs 5.5% implied by price	Stable	Maintain conservative 2.5% terminal growth	Terminal growth rate materially affects valuation; market expectations appear overly optimistic

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 155.32	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 263.83 (+20.5% vs price). Reconciled from USD 155.32 to USD 300.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 218.95. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 218.95	Gap
Revenue CAGR (10-year)	20.0%	24.8%	+4.8pp
Operating margin (mature)	48.3%	74.0%	+25.6pp
FCF margin (mature)	40.0%	—	—
Terminal growth	2.5%	5.5%	+3.0pp

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	345.5bn	60.0%	60.4%	146.1bn	130.4bn
FY2028	493.2bn	42.8%	59.0%	212.1bn	169.1bn
FY2029	644.5bn	30.7%	57.7%	280.1bn	199.4bn
FY2030	787.7bn	22.2%	56.4%	343.6bn	218.4bn
FY2031	916.2bn	16.3%	55.0%	398.5bn	226.1bn
FY2032	1.0tn	12.2%	53.7%	443.2bn	224.5bn
FY2033	1.1tn	9.3%	52.3%	477.9bn	216.2bn
FY2034	1.2tn	7.2%	51.0%	503.7bn	203.4bn
FY2035	1.3tn	5.8%	49.6%	522.2bn	188.3bn
FY2036	1.3tn	4.8%	48.3%	534.8bn	172.2bn

SEGMENT FORECAST: A BOTTOM-UP CROSS-CHECK

The headline DCF grows total revenue top-down. This forecasts each reportable segment on its own trajectory and sums them, as a check on that single blended number. The headline valuation is unchanged; this is the stress-test on its central assumption.

Segment	Revenue FY2026	Yr-1 growth	10y CAGR	Revenue FY2036
Compute & Networking	193.5bn	66.5%	21.9%	1.4tn
Graphics	22.5bn	57.0%	19.1%	129.2bn
Bottom-up total	215.9bn	-	21.6%	1.5tn

The reported segments sum to USD 215.9bn, within 0% of total revenue — a clean bottom-up build. Summed bottom-up, the segments imply a 22% total CAGR — in line with the 20% our top-down DCF assumes, which supports the headline forecast.

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	40.0%	36.3%	2.0%	13.5%	USD 69.05	-68%	25%
Base case	60.0%	48.3%	2.5%	12.0%	USD 155.32	-29%	50%
Bull case	75.0%	60.3%	3.0%	10.5%	USD 331.30	+51%	25%

Probability-weighted value USD 177.75 (-18.8% vs price). Range USD 69.05 to USD 331.30, a spread of 169% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 40%, the sustainable operating margin settles near 36%, and the market prices the added risk through a 13.5% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 60% decaying toward 2.5%, a terminal margin of 48%, discounted at 12.0%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 75%, margins recover toward 60%, and an easing risk premium lowers the discount rate to 10.5%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

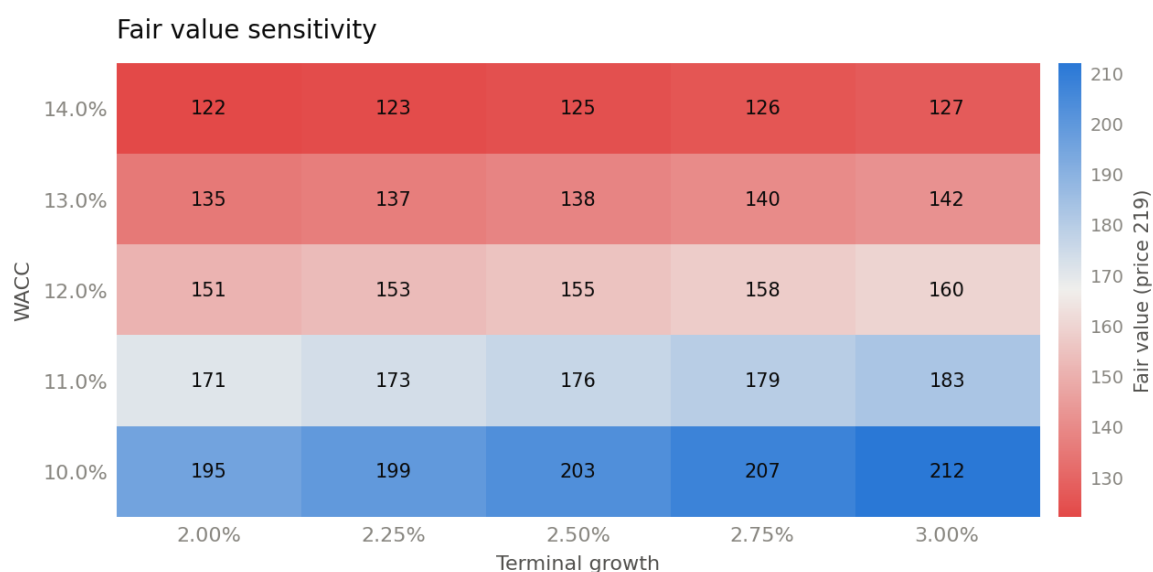
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.7%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted (0.67 x 2.21 + 0.33 x 1.00) = 1.81
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026

Assumption	Value	Basis	Derivation
Beta (long-horizon)	1.61x	Derived from filings	0.75×1.81 (Blume) + 0.25×1.00 , the average beta over a 10-year horizon
Size premium	-1.5%	Standard default	Build-up size premium for a mega-cap (market cap USD 5,303bn)
Cost of equity	12.0%	Derived from filings	CAPM build-up: $4.65\% + 1.61 \times 5.50\% - 1.5\%$ size
Pre-tax cost of debt	6.2%	Standard default	Risk-free $4.65\% + 1.5\%$ investment-grade spread
WACC (discount rate)	12.0%	Derived from filings	$100\% \text{ equity} \times 12.01\% + 0\% \text{ debt} \times 6.15\% \times (1 - 13\%)$
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	60.0%	Model estimate (bounded)	Model estimate 60%, bounded to [33%, 65%] from reported growth of 65%
Terminal operating margin	48.3%	Model estimate (bounded) (bounded)	Model estimate 48.0%, normalised down from today's 60.4%; kept within a maturity band of [48.3%, 62.4%] (floor 80% of current, set by steady margins; ceiling the demonstrated peak)
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	761.7bn	119.0x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.7tn	60.4x	44.0x	24.6x
Intel Corporation (INTC)	491.0bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	169.9bn	18.7x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	30.9x	4.7x	3.3x

Implied value applies the peer median P/E of 45.6x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- A second-pass calibration review revised one or more forward assumptions (see the assumption rationales below); the fair value reflects the revised set.
- The analyst consensus (USD 300.00) sits 93% above our intrinsic DCF (USD 155.32). The blended value reconciles the two; read it as a triangulation, not a precise number.
- The bull-to-bear range spans 169% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Terminal operating margin was constrained to 48.3% (estimate was 48.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quatr/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

This report was generated by an automated research tool for demonstration purposes. It is not investment advice, not a recommendation to buy or sell any security, and has not been reviewed by a licensed analyst. Figures are drawn from public filings and market data sources and may contain errors. Always verify against the primary sources listed before relying on anything here.